(biological assets); and intellectual property products (intellectual property/IP).

Physical assets still make up the bulk of GFCF. Of the Rs 44.61 lakh crore of fixed capital formation in 2018–19 in the Indian economy, the contribution of buildings and structures was Rs 22.02 lakh crore, almost 50 per cent. Plant and machinery was the second big block with capital expenditure of Rs 17.59 lakh crore of capital formation, making up almost 40 per cent of GFCF.

IP contributed Rs 4.89 lakh crore in terms of fixed capital formation, a little over 10 per cent of total GFCF. However, its growth rate and increasing share in overall fixed capital formation give interesting pointers about its emerging and enlarging influence in investment and growth in the economy. IP's share in fixed capital formation in 2011–12 was Rs 2.17 lakh crore out of total GFCF of Rs 29.98 lakh crore, a share of 7.24 per cent. By 2018–19, its share increased to 11 per cent.

There has been a distinct slowdown in capital formation in buildings and structures. From Rs 17.24 lakh crore in 2011–12, it grew to Rs 22.02 lakh crore in 2018–19, an increase of only Rs 4.78 lakh crore (or about 27 per cent) in seven years, clearly an evidence of slowing investment in dwellings, other buildings and structures.

Plant and machinery, despite apparent slowdown in some sectors, still had decent growth, from Rs 10.49 lakh crore in 2011–12 to Rs 17.59 lakh crore in 2018–19—an increase of Rs 7.1 lakh crore (about 70 per cent) in seven years.

Biological assets are still a nascent head of capital formation in India with the segment contributing a fixed capital of Rs 10,758 crore in 2018–19.